

Hammond Power Solutions Inc. (HPS.A)

Record Shipments and Firm Margins Support the Electrification Thesis

HPS.A, TSX | Industrials | Electrical Equipment and Power Quality

OVERWEIGHT

Price (22 Aug 2024):	C\$110.10
Price Target (Dec-25):	C\$130.00

INVESTMENT THESIS

Hammond delivered record Q2 sales of C\$197.2mm, up 14%, while adjusted EBITDA increased 29% to C\$32.6mm. Gross margin reached 32.8% and backlog increased sequentially despite record shipments.

Capacity additions in Mexico and strong demand from data centres, utilities, mining and industrial customers support growth. The offset is a sharp valuation rerating, commodity costs and uncertainty over how much current ordering reflects durable demand.

Our C\$130 December 2025 target applies 19.4x FY25E analyst EPS of C\$6.70. Scarce transformer exposure and a strong balance sheet justify a premium, while small-cap liquidity and cyclical order risk cap the multiple.

- Q2 sales increased 14.4%, adjusted EBITDA margin reached 16.5% and diluted EPS was C\$1.98.
- Backlog increased 1% sequentially despite record shipments; Canada grew 22.7% and U.S./Mexico sales rose 13.5%.
- Our C\$130 December 2025 target implies 18.1% price upside. Estimated dividends add 1.4%, for approximately 19.4% total return.

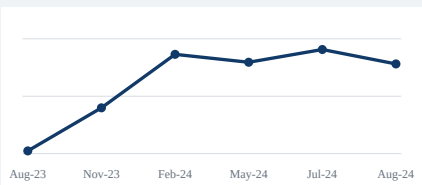
COMPANY OVERVIEW

Hammond designs and manufactures dry-type transformers, reactors, filters and power-quality products for data centres, industrial automation, renewables, utilities, mining and commercial infrastructure. Engineering, distribution and North American manufacturing support differentiation.

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Independent research exercise

PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

COMPANY DATA

Shares outstanding	~11.9mm
Market cap	~C\$1.31bn
52-week range	~C\$47-161
Quarterly dividend	C\$0.275
Q2 sales	C\$197.2mm
Q2 adj. EBITDA	C\$32.6mm
Q2 gross margin	32.8%
Latest results	Q2 2024

KEY ESTIMATES

C\$m unless noted	FY22A	FY23A	FY24E	FY25E
Sales	558	710	795	890
Adjusted EBITDA	73.4	117.2	127	145
Adj. EBITDA margin	13.2%	16.5%	16.0%	16.3%
EPS (A dil.; E est.)	3.77	5.33	5.60	6.70
Dividend / share	0.385	0.55	~1.00	1.10

Q2 2024: RECORD SHIPMENTS WITHOUT SACRIFICING MARGIN

The quarter combined volume growth, pricing and operating leverage. A new Mexico facility carried start-up cost and copper prices rose, yet gross margin expanded. Share-based compensation and foreign exchange make adjusted EBITDA the cleaner comparison.

Metric	Q2/23	Q1/24	Q2/24	Y/Y	Read-through
Sales	C\$172.5	C\$190.7	C\$197.2	+14%	Record shipments
Gross margin	30.9%	31.7%	32.8%	+190bp	Price and mix
Adjusted EBITDA	C\$25.3	C\$31.0	C\$32.6	+29%	Leverage
Adj. EBITDA margin	14.7%	16.2%	16.5%	+180bp	Execution
Net earnings	C\$13.3	C\$8.0	C\$23.6	+77%	Comp volatility
Diluted EPS	C\$1.12	C\$0.67	C\$1.98	+77%	Strong quarter
Backlog	Strong	Up 11% y/y	+1% q/q	Stable	Visibility

FORECAST AND EARNINGS FRAMEWORK

We model low-teens FY24E sales growth and continued capacity conversion. Gross margin normalizes modestly as Mexico ramps and input costs fluctuate. FY25E assumes steady custom-product demand, no major acquisition and capital spending funded from operating cash flow.

C\$mm unless noted	FY22A	FY23A	FY24E	FY25E	FY26E
Sales	558	710	795	890	990
Sales growth	47%	27%	12%	12%	11%
Adjusted EBITDA	73.4	117.2	127	145	162
Adj. EBITDA margin	13.2%	16.5%	16.0%	16.3%	16.4%
EPS (A diluted; E analyst)	3.77	5.33	5.60	6.70	7.50
EPS growth	-	41%	5%	20%	12%
Dividend / share	0.385	0.55	~1.00	1.10	1.30
Capital spending	8.6	20.2	~35	~32	~30
Net debt / EBITDA	Net cash	Net cash	Net cash	Net cash	Net cash

BOOKINGS AFTER THE CAPACITY RAMP MATTER MOST

Record shipments and stable backlog are encouraging because they show demand replenishing delivered orders. The next test is whether bookings remain firm if standard-product demand cools and new Mexico capacity becomes fully available.

GROWTH DRIVERS: GRID BOTTLENECKS, DATA CENTRES AND CAPACITY

Transformers are a physical bottleneck in digital and electrical infrastructure. Hammond is expanding capacity while moving toward custom applications. The opportunity is attractive, but the stock already reflects substantial growth.

Driver	FY23A	Q2/24	FY25E	FY26E	Investment implication
Sales growth	27%	14% y/y	12%	11%	Demand remains firm
Backlog	Elevated	+1% q/q	Normalize	Normalize	Visibility
Gross margin	32.5%	32.8%	32%	32%	Price and mix
Data centres	Growing	Strong	Strong	Strong	Structural demand
Mexico capacity	Build	Start-up	Ramp	Productive	Throughput
Net leverage	Net cash	Net cash	Net cash	Net cash	Optionality

DATA-CENTRE AND GRID DEMAND

Long lead times and expanding power requirements support bookings. The principal risk is duplicate ordering or project delays as customers manage scarce equipment.

CAPACITY, MIX AND INPUT COSTS

Mexico capacity should increase throughput, while custom work lifts revenue per unit. Copper, steel and labour changes must be recovered through pricing to protect margin.

BALANCE SHEET AND CAPITAL ALLOCATION

A net-cash balance sheet supports organic investment and dividends. Discipline matters because a premium valuation increases the cost of any operational miss or poorly timed acquisition.

VALUATION AND PRICE TARGET

Our December 2025 target is C\$130. The primary framework applies 19.4x to our FY25E analyst EPS of C\$6.70. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
Forward P/E	50%	19.4x FY25E C\$6.70	C\$130	Scarce growth exposure
Cash-flow model	30%	10% WACC; 3.5% terminal g	C\$125	Cash conversion
Peer check	20%	Electrical equipment peers	C\$138	Relative valuation
Weighted target	100%		C\$130	Rounded target

VALUATION SENSITIVITY

FY25E EPS / P-E	14.0x	16.0x	18.0x	20.0x	22.0x
C\$5.70	C\$80	C\$91	C\$103	C\$114	C\$125
C\$6.37	C\$89	C\$102	C\$115	C\$127	C\$140
C\$6.70	C\$94	C\$107	C\$121	C\$134	C\$147
C\$7.04	C\$98	C\$113	C\$127	C\$141	C\$155

At C\$110.10, the shares trade at 16.4x our FY25E analyst EPS. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	Bookings sustain; margin >17%; premium holds	C\$159
Base	55%	Orderly capacity ramp; margin near 16.5%	C\$130
Bear	20%	Orders normalize; margin and multiple fall	C\$88

The probability-weighted scenario value is C\$129. Our C\$130 target implies 18.1% price appreciation and approximately 19.4% total return including estimated dividends through December 2025. We rate HPS.A Overweight.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- Data-centre and utility bookings remain elevated.
- Mexico capacity ramps faster with limited start-up cost.
- Custom mix sustains gross margin above 32%.
- Cash generation funds growth without leverage.

DOWNSIDE RISKS

- Backlog includes duplicate orders or project delays.
- Copper, steel or labour costs move faster than pricing.
- New capacity is underutilized as standard-product demand slows.
- Small public float amplifies valuation volatility.

METHODOLOGY AND SOURCE NOTES

1. Hammond Power Solutions Q2 2024 interim report dated 25 July 2024: <https://americas.hammondpowersolutions.com/-/media/Project/HPS/shared/Investor-Relations/HPS-Q2-2024-REPORT.pdf>
2. Hammond Power Solutions Q1 2024 results dated 29 April 2024 and 2023 annual report released 27 March 2024: <https://americas.hammondpowersolutions.com/news/2024/april/q1-2024-financial-results> and <https://americas.hammondpowersolutions.com/-/media/Project/HPS/shared/Investor-Relations/HPS-ANNUAL-REPORT-2023---FINAL.pdf>
3. Market data: HPS.A raw close of C\$110.10 on 22 August 2024 from date-bounded Yahoo Finance chart data: <https://query2.finance.yahoo.com/v8/finance/chart/HPS-A.TO?period1=1692748800&period2=1724371200&interval=1d&events=history>
4. FY24E was rebuilt from H1 2024 results. The FY24E dividend is a rounded cutoff-date estimate based on dividends declared and the then-current quarterly rate; all forecasts, scenarios, rating and target use only information public by the cutoff.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by Hammond Power Solutions, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.